

actions. It comprises a public blockchain and cryptocurrency. A currency is used to settle all the DeFi transactions, which may or may not be traded in public markets. One of the most common examples of the settlement layer is Ethereum, which is compatible and programmable. However, it is also highly volatile.

- **Protocol layer**

The second layer is the protocol layer which provides liquidity to the DeFi ecosystem. DeFi protocol can be easily used by several entities at a time to build a service or an app. One of the most common examples of the protocol layer is Synthetix, which is used to construct synthetic versions of real-world assets.

- **Application layer**

The third in the list is the application layer, which consists of consumer-facing applications. Some of the common cryptocurrency applications that reside on this layer are decentralised cryptocurrency exchanges and lending services.

- **Aggregation layer**

The last layer is the aggregation layer which consists of a group of aggregators who are responsible for connecting previous layers to provide reliable services to the investors. Some of the examples of aggregation layers are crypto wallets and banking services.

